

INVESTMENT ENVIRONMENT

VARIABLES: Percentage of state GDP spent on administration, per capita capital expenditure, commercial bank credit, capital formation, number of factories and industrial disputes, sick small scale industries, number of industrial workers per urban population in 15-59 group,

BIG STATES

RANK 2007		2007	2006	2005	2004	2003
1	GUJARAT	2.68	1	1	5	2
2	MAHARASHTRA	2.27	4	7	6	5
3	HIMACHAL PRADESH	2.25	2	4	4	4
4	HARYANA	2.24	3	5	3	1
5	UTTARAKHAND	2.15	5	8	2	NA
6	KARNATAKA	2.12	7	6	10	6
7	TAMIL NADU	2.08	8	9	7	7
8	PUNJAB	1.88	6	3	1	3
9	CHHATTISGARH	1.60	9	2	13	NA
10	ANDHRA PRADESH	1.51	10	11	12	8
11	ASSAM	1.45	17	19	16	9
12	JHARKHAND	1.42	13	12	11	NA
13	RAJASTHAN	1.35	11	13	15	11
14	JAMMU & KASHMIR	1.35	12	10	9	10
15	MADHYA PRADESH	1.32	15	15	8	14
16	KERALA	1.14	16	16	14	12
17	ORISSA	0.85	19	18	19	16
18	UTTAR PRADESH	0.85	14	14	17	13
19	WEST BENGAL	0.80	18	17	18	15
20	BIHAR	0.50	20	20	20	17

SMALL STATES

1	PUDUCHERRY	4.05	1	6	6	NA
2	GOA	3.86	4	2	3	1
3	SIKKIM	3.83	2	1	2	NA
4	DELHI	3.83	3	4	4	2
5	ARUNACHAL PRADESH	3.00	5	5	5	NA
6	MIZORAM	2.17	7	3	1	NA
7	NAGALAND	1.47	9	7	7	NA
8	TRIPURA	1.32	6	9	9	NA
9	MEGHALAYA	1.18	10	10	10	NA
10	MANIPUR	0.72	8	8	8	NA

UNION TERRITORIES

1	DADRA & NAGAR HAVELI	4.42	1	2	2	NA
2	CHANDIGARH	4.04	2	1	1	NA
3	LAKSHADWEEP	3.27	5	5	3	NA
4	DAMAN & DIU	2.06	3	3	4	NA
5	ANDAMAN & NICOBAR ISLANDS	0.95	4	4	5	NA

Tamil Nadu is the FASTEST MOVER

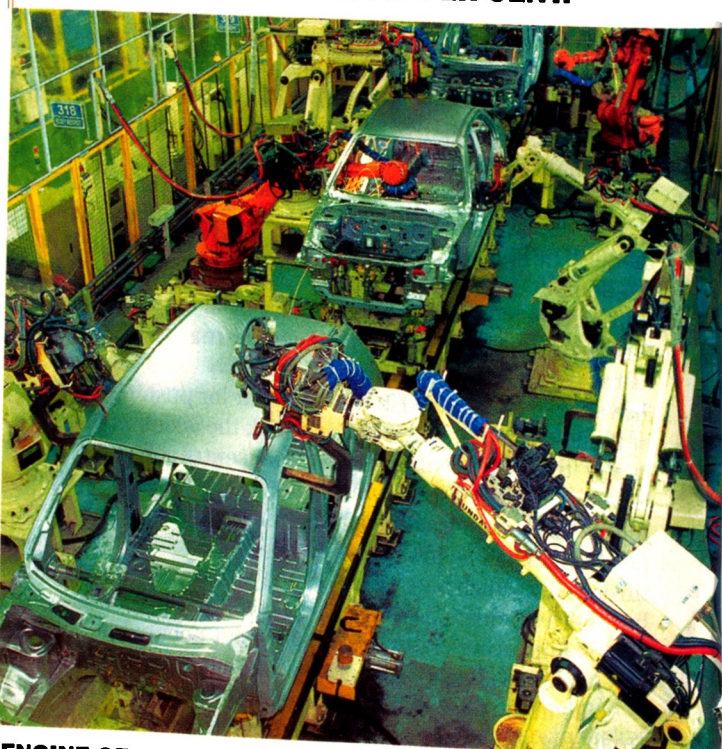
Fastest Mover is the state where the rate of improvement on overall performance between 2003 and 2007 was greater than the rate of improvement between 1991 and 2003

values) were calculated for all 30 states and five union territories across eight parameters of performance, each comprising six-eight variables. The overall performance is the average of scores out of 10, on eight parameters (see tables). The performance measured is that of states, not their current chief ministers. All data used in the study is objective and taken from Central government sources, as has been in the past four years.

One good news is that there has been improvement in states like Mizoram, Madhya Pradesh, Uttar Pradesh and Assam. You could argue that this is a statistical view but so are all rankings. Assam, otherwise lagging at number 14 amongst big states, has shown spectacular results in poverty reduction, by trimming it down by 21 per cent. Indeed, long touted as the state with potential, Assam has also emerged as the fastest mover in overall rankings. Mizoram has come up from behind to oust Goa as the best among small states in primary education. Madhya Pradesh, where the last elections were fought on "bijli sadak paani" slogan, is the fastest mover in agriculture and infrastructure. Uttar Pradesh similarly has improved the most in primary health and education. Orissa has retained the fastest mover tag in macro economic management while Karnataka has bagged the most improved state award in law and order.

In fact, the study not only captures current performance by states but also the level of efforts being put in by different regimes to get an idea of doers among winners. In a sense the Fastest Mover (the most improved state) gives an idea of

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ENGINE OF GROWTH: The booming automobile sector